

FRED SCHWED, JR.
1901–1966

Fred Schwed's 1940 book, *Where Are the Customer's Yachts?*, is considered an investment classic. The title comes from a once-popular Wall Street joke: The guide for a visitor to New York's financial district points to some beautiful boats anchored offshore. "Look," the guide says, "those are the bankers' and brokers' yachts." To which the naive visitor says, "Where are the customers' yachts?" Schwed's book, which is based on his own experience, takes a satirical look at Wall Street in the spirit of Mark Twain. It also provides some poignant philosophy, such as: "Investment and speculation are said to be two different things, and the prudent man is advised to engage in the one and avoid the other. This is something like explaining to the troubled adolescent that Love and Passion are two different things."

Born in New York City, his exposure to Wall Street shenanigans came early—his father was a member of the New York Curb Exchange. Schwed went to Princeton but was thrown out in his senior year for having a girl in his dorm room past the bewitching hour. He finished his degree at Columbia University. After graduation, he was a reporter for *The New York Times*, then *The Wall Street Journal*, before moving on to become an account representative for a stock brokerage firm. Apparently he didn't think highly of the job, considering what he said about mutual fund salesmen: "They can properly compare to life-insurance salesmen. You remember the life-insurance guy: first he was a minor nuisance, then he became loathsome, then he pushed a policy down your throat."

Schwed also dabbled in trading, but claimed he never got rich as a trader because he listened to a cynical Irish coworker: " 'What were securities created for in the first place?' The Irishman said. 'They were created to be sold, so sell them.' " That cynicism is certainly on display in *The Wall Street Dream Market*, for Schwed pokes fun at the Wall Streeter who considers himself a prophet, a scholar, and a magician with money.